

When Simpler Pricing Wins: Mechanism Choice under Dynamic Participation

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Abstract

Firms and platforms in dynamic markets often choose between simple pricing rules and more complex dynamic mechanisms. We study this choice in a laboratory experiment where sellers repeatedly choose between the simple mechanism M, a repeated static Myerson mechanism (Myerson, 1981), and the complex mechanism MPTS, a history-dependent dynamic mechanism (Mirrokni et al., 2020), while interacting with human buyers. Each mechanism is theoretically preferred in different demand environments. We find that (i) sellers learn to choose the theoretically preferred mechanism, but reducing the setup burden of MPTS does not increase adoption; (ii) sellers set prices systematically above theoretical benchmarks; and (iii) conditional on buyer participation, realized revenue broadly follows the theoretical ranking, but once non-participation is included, MPTS does not achieve a reliable unconditional revenue advantage. These results show that simpler pricing can win when participation frictions determine realized revenue.

Keywords: Dynamic pricing, Mechanism design, Experiment, Learning

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1. Introduction

Dynamic pricing is ubiquitous in modern markets. Ride-sharing platforms adjust prices in response to changing demand and supply, e-commerce platforms update prices to remain competitive, subscription services combine introductory offers with renewal pricing, digital advertising platforms repeatedly allocate impressions through auction-like rules, and road systems use dynamic tolls to regulate congestion. These environments share a common feature: pricing decisions unfold over time, affecting not only current revenue but also future participation, information, and demand.

Firms and platforms in such markets face a basic design problem: which pricing mechanism should they use? A simple mechanism may be easy to implement and robust to behavioral responses. A more sophisticated dynamic mechanism may extract higher theoretical revenue by linking decisions across periods, but it may also be harder to configure and more sensitive to participation dynamics. Thus, the relevant managerial question is not only whether a theoretically preferred mechanism exists, but whether human sellers can choose it, implement it, and earn higher realized revenue from it.

This paper studies mechanism choice in dynamic selling environments by comparing two theoretically motivated and implementable mechanisms that differ in complexity. The simple mechanism M is a repeated static Myerson mechanism that applies the static optimal pricing rule independently in each period (Myerson, 1981). The complex mechanism MPTS, adapted from Mirrokni et al. (2020), adds history dependence: it combines the repeated-Myerson component, which captures intra-period revenue, with a dynamic component that uses earlier behavior to generate intertemporal revenue through an entry fee and contingent pricing. In our two-period implementation, M requires two Myerson reserve prices, one static optimal reserve for each period. MPTS uses these same two Myerson reserves plus two additional prices: an entry fee and a reserve price contingent on that entry fee. Thus, MPTS nests the simple repeated-pricing component of M , but adds history-dependent prices that may increase theoretical revenue and make the mechanism more complex to implement.

We focus on this pair for three reasons. First, the two mechanisms create a meaning-

ful choice problem: neither uniformly dominates, so the theoretically preferred mechanism varies across demand environments. Second, both mechanisms have general implementation forms across all demand environments suitable for a laboratory experiment, unlike fully optimal dynamic mechanisms that can be highly environment-specific and difficult to communicate to human subjects (Jackson and Sonnenschein, 2007; Pavan et al., 2014; Balseiro et al., 2018). Third, the pair builds directly on our prior evidence: when M and MPTS are imposed exogenously and seller-side prices are implemented by design, realized revenue broadly follows the theoretical comparison between the two mechanisms (Gui and Houser, 2026). This makes them a natural pair for studying whether human sellers can choose the theoretically preferred mechanism, implement it, and generate higher realized revenue.

The present paper therefore asks whether theoretical mechanism rankings continue to guide outcomes once the seller’s problem is endogenized. We conduct a laboratory experiment in which sellers repeatedly choose between M and MPTS across ten paid two-period trading rounds. In each round, the seller observes the value distributions for both periods, selects a mechanism, sets the relevant prices, and interacts with a randomly matched buyer. Buyers then make participation and bidding decisions, and both sides observe realized earnings. Across rounds, the theoretically preferred mechanism varies: in some scenarios M generates higher expected revenue, while in others MPTS does. This design allows us to separate three components of practical mechanism performance: mechanism choice, price implementation, and realized revenue.

To study the role of implementation complexity, we introduce two treatments. In the high-complexity treatment, sellers manually set all four MPTS prices: the two Myerson reserves, the entry fee, and the posted-price reserve. In the low-complexity treatment, sellers set only the two Myerson reserve prices, while the computer generates the remaining MPTS-specific prices according to the theoretical benchmark.

We find three main results. First, sellers learn the mechanism-selection logic: in later rounds, they choose MPTS more frequently when MPTS is theoretically preferred than when M is theoretically preferred. However, reducing the setup burden of MPTS does not significantly increase MPTS adoption. Second, implementation frictions remain important. When

sellers manually set the prices unique to MPTS, they frequently deviate from the suggested or theoretical benchmarks, generally in the aggressive-pricing direction. Third, realized revenue depends critically on buyer behavior. Buyers who participate tend to overbid, so MPTS can perform well conditional on participation. However, MPTS also requires buyers to pay an entry fee before Period 2 trade can occur. Participation is high but incomplete, and once non-participation is included, MPTS fails to generate a reliable unconditional revenue advantage even when it is theoretically preferred.

The central implication is that the practical value of a complex mechanism depends not only on its theoretical revenue advantage, but also on its robustness to implementation and participation frictions. A mechanism may look successful among buyers who participate, yet fail to outperform unconditionally if it discourages some buyers from entering in the first place. Simple mechanisms may therefore be valuable not because they are theoretically superior in all environments, but because they are easier to implement and less vulnerable to extensive-margin losses. This insight is relevant for pricing algorithms and platform design: sophisticated dynamic pricing systems must be evaluated not only by their benchmark revenue predictions, but also by whether human users implement them as intended and whether buyers continue to participate under the resulting rules.

This paper contributes to three strands of literature. First, it contributes to dynamic mechanism design and dynamic pricing by testing whether theoretically motivated dynamic mechanisms deliver higher realized revenue when human sellers must choose and implement them (Baron and Besanko, 1984; Myerson, 1981; Bergemann and Välimäki, 2019; Mirrokni et al., 2020). Second, it contributes to experimental evidence on dynamic mechanisms by moving from exogenously imposed mechanisms to endogenous mechanism choice and price implementation (Davis et al., 2014; Gui and Houser, 2026). Third, it contributes to the literature on learning, complexity, and implementation by showing that sellers can learn which mechanism is theoretically favored, while still facing implementation frictions that affect realized performance (Sweller, 1988; Harstad, 2000; Bigoni and Suetens, 2012). We discuss these connections in detail in Section 6.

The remainder of the paper is organized as follows. Section 2 introduces the theoretical

framework and the two mechanisms. Section 3 presents the experimental design. Section 4 states the hypotheses. Section 5 reports the results following the three-part structure. Section 6 discusses the findings in relation to the relevant literature, and Section 7 concludes.

2. Overview of the Mechanisms

We consider a two-period selling environment. In each period, a seller offers one item to a buyer with privately known valuation $v_t \sim F_t$, where $t \in \{1, 2\}$. The seller knows the valuation distributions (F_1, F_2) , but does not observe the buyer’s realized valuations. Production costs are normalized to zero.

The seller commits to a pricing mechanism governing both periods. The buyer then makes purchase and participation decisions sequentially across periods. This environment captures a central feature of dynamic markets: pricing decisions unfold over time, and current mechanism design may affect future revenue and participation.

Our focus is not on deriving the globally optimal dynamic mechanism, which can be complex and environment-specific (Mirrokni et al., 2020; Papadimitriou et al., 2022). Instead, we compare two implementable mechanisms that differ in complexity and intertemporal linkage: the simple mechanism M, a repeated static Myerson mechanism, and the complex mechanism MPTS, a history-dependent dynamic mechanism.

2.0.1. Simple Mechanism M: Repeated Static Myerson Pricing

The first mechanism applies the static optimal pricing rule independently in each period. In a single-buyer environment, this corresponds to a posted-price version of Myerson’s optimal auction (Myerson, 1981). In each period t , the seller sets the monopoly reserve price $r_t^M \in \arg \max_r r(1 - F_t(r))$, and allocates the item whenever the buyer’s bid exceeds the reserve price.

The key feature of M is that it is repeated static: the seller solves a separate static pricing problem in each period. Period 2 pricing does not depend on Period 1 behavior, and the mechanism does not use intertemporal linkage. Its expected revenue is $Rev^M = Rev_1^M + Rev_2^M$, where $Rev_t^M = r_t^M(1 - F_t(r_t^M))$. Thus, M maximizes intra-period revenue

separately in each period. Its main advantage is simplicity: the seller only needs to set one reserve price in each period. Its limitation is that it cannot extract additional revenue by linking the two periods.

2.0.2. Complex Mechanism MPTS: History-Dependent Dynamic Pricing

The second mechanism is adapted from the dynamic mechanism of Mirrokni et al. (2020).³ We refer to this mechanism as MPTS, after Mirrokni, Paes Leme, Tang, and Zuo. Unlike M, which applies static Myerson pricing independently in each period, MPTS links the two periods through a dynamic participation and pricing structure. In the two-period setting, MPTS is theoretically attractive because it provides a constant-factor guarantee: under the assumptions of Mirrokni et al. (2020), it obtains at least one half of the optimal dynamic revenue while using a relatively simple pricing structure.

Operationally, MPTS combines a repeated-Myerson component with a dynamic posted-price component. The repeated-Myerson component uses the same two Myerson reserves as M, r_1^M and r_2^M , and generates intra-period revenue. The dynamic component creates an additional inter-period revenue channel through a history-dependent entry fee and an associated posted-price reserve. In our two-period implementation, the entry fee is $s_2(b_1) = \min\{b_1, \mathbb{E}[v_2]\}$, where b_1 is the buyer's Period 1 bid. The associated posted-price reserve, r_2^P , is chosen so that the buyer's expected surplus from entering Period 2 equals the entry fee: $\mathbb{E}[(v_2 - r_2^P)^+] = s_2(b_1)$. Thus, the entry fee extracts continuation surplus, while the posted-price reserve determines the Period 2 trading threshold after entry.

The theoretical comparison between M and MPTS is therefore scenario-dependent. When most available revenue comes from separate within-period pricing, the repeated static mechanism M can generate higher theoretical revenue; we refer to these cases as M-Better scenarios. When the inter-period revenue channel is sufficiently valuable, MPTS can generate higher

³Mirrokn et al. (2020) refer to this class as non-clairvoyant dynamic mechanisms because the mechanism does not rely on future distributional information when designing current-period rules. In our two-period experimental implementation, the relevant distinction is that MPTS links the two periods through an entry fee and a posted-price reserve, while M applies static Myerson pricing separately in each period.

theoretical revenue; we refer to these cases as MPTS-Better scenarios. This distinction follows the comparison studied in Gui and Houser (2026) and motivates our experimental design: sellers face both types of scenarios, allowing us to ask whether they learn which mechanism is theoretically favored in a given environment and whether endogenous mechanism choice translates into realized revenue.

MPTS is also more difficult to implement. Under M, the seller sets only two prices, r_1^M and r_2^M . Under MPTS, the seller must consider four price components: $(r_1^M, r_2^M, s_2, r_2^P)$. The first two prices are Myerson reserves and are common to both mechanisms. The two MPTS-specific prices are s_2 , the entry fee that the buyer must pay before participating in Period 2, and r_2^P , the posted-price reserve used after entry. These additional prices are the source of MPTS’s intertemporal revenue channel, but they also create an implementation burden: they affect not only revenue conditional on trade, but also whether the buyer enters Period 2 in the first place. Thus, MPTS may have a theoretical revenue advantage in some environments, but its realized performance depends on whether sellers set the additional prices appropriately and whether buyers continue to participate.

3. Experimental Design

The experiment is designed to study how human sellers choose between dynamic pricing mechanisms that differ in complexity and theoretical performance. Building on the framework in Section 2, sellers repeatedly choose between the simple mechanism M and the complex mechanism MPTS. The central design feature is that the theoretically preferred mechanism varies across demand environments: in some scenarios M generates higher expected revenue, while in others MPTS generates higher expected revenue.

We use a laboratory experiment with both within-subject and between-subject variation. The within-subject variation comes from exposing each seller to multiple demand scenarios in which the theoretically preferred mechanism differs. This allows us to test whether sellers learn to choose the scenario-specific theoretically preferred mechanism. The between-subject variation comes from two treatments that vary the number of MPTS prices sellers must

manually set. This allows us to test whether implementation complexity affects mechanism adoption, price setting, buyer participation, and realized revenue.

Participants are randomly assigned to the role of seller or buyer, and roles remain fixed throughout the experiment. In each round, one seller is randomly matched with one buyer for a two-period trading game. In each period, the seller can sell one item to the buyer, and production costs are zero. At the beginning of each round, both participants observe the value distributions for the two periods, presented visually as pie charts. The seller then chooses one of the two mechanisms for that round and sets the required prices. The buyer makes bidding decisions under both mechanisms and, under MPTS, also decides whether to pay an entry fee before Period 2 trade. At the end of the round, both participants observe their earnings.

The experiment consists of two practice rounds followed by ten paid experimental rounds. One of the paid rounds is randomly selected for payment.

3.1. Mechanism Choice and Pricing Tasks

In each round, the seller chooses between M and MPTS.

If the seller chooses M, the task is simple and identical across treatments. The seller sets one reserve price in each period. In Period t , the buyer observes their private value v_t , submits a bid b_t , and receives the item if the bid is at least the seller's reserve price r_t^M . If trade occurs, the buyer pays r_t^M .

If the seller chooses MPTS, the mechanism links the two periods through a richer sequence of pricing and participation decisions. In Period 1, the seller sets a reserve price r_1^M . The buyer observes their value and submits a bid. With probability one-half, the buyer receives the item for free; with probability one-half, trade follows the Myerson rule, so the buyer receives the item and pays r_1^M only if the bid is at least the reserve price.

In Period 2 under MPTS, the buyer first decides whether to pay an entry fee s_2 in order to enter the market and learn their value. If the buyer does not pay the entry fee, the round ends for the buyer. If the buyer pays the entry fee, the buyer learns their value and submits a bid. With probability one-half, the entry fee is refunded and the buyer faces the Myerson

reserve price r_2^M ; with probability one-half, the entry fee is not refunded and the buyer faces the posted-price reserve r_2^P . In either case, the buyer receives the item only if the bid is at least the relevant reserve price.

Thus, M is a transparent repeated pricing rule, whereas MPTS requires sellers and buyers to navigate additional contingent pricing and participation decisions. This difference is central to our test of whether theoretically preferred mechanisms remain effective when chosen and implemented by human decision makers.

3.2. Implementation Treatments

To isolate the role of implementation complexity, we vary the number of prices sellers must manually configure when choosing MPTS. Participants are randomly assigned to one of two treatments.

In the *Set 4* treatment, sellers choosing MPTS must set all four prices required by the mechanism: r_1^M , r_2^M , s_2 , and r_2^P . That is, sellers choose the Period 1 Myerson reserve, the Period 2 Myerson reserve, the Period 2 entry fee, and the Period 2 posted-price reserve. Sellers are shown theoretically suggested values as reference points, but they are free to choose their own prices.

In the *Set 2* treatment, sellers choosing MPTS set only the two Myerson reserve prices, r_1^M and r_2^M , while the computer automatically sets the entry fee s_2 and the posted-price reserve r_2^P according to the theoretical benchmark.

The comparison between Set 4 and Set 2 allows us to test whether increasing the setup burden of MPTS affects sellers' willingness to choose it, how they implement it, and its realized performance. If implementation complexity primarily discourages adoption, sellers should choose MPTS less often in Set 4. If complexity instead affects implementation quality, sellers may still choose MPTS but set prices that alter buyer participation and realized revenue.

3.3. Demand Scenarios

The experiment uses twelve demand scenarios. Each scenario is a pair of value distributions (F_1, F_2) , one for each period. The distributions are discrete and commonly known to

both participants at the beginning of each round.

The scenarios are constructed so that M and MPTS have different theoretical revenue rankings across environments. We classify scenarios into three categories:

1. *MPTS-Better scenarios*, in which MPTS generates higher expected revenue than M;
2. *M-Better scenarios*, in which M generates higher expected revenue than MPTS;
3. *Tie scenarios*, in which the two mechanisms generate the same expected revenue.

The construction follows the theoretical comparison in Section 2. In all scenarios, the repeated Myerson mechanism M generates the same theoretical benchmark revenue. The revenue advantage of MPTS depends on whether the Period 2 demand distribution creates sufficiently large intertemporal revenue opportunities through the entry-fee and posted-price components.

The four value distributions used in the experiment are:

$$\begin{aligned}
F_a &= \left\{ (2, \tfrac{1}{2}), (4, \tfrac{1}{4}), (8, \tfrac{1}{8}), (16, \tfrac{1}{16}), (32, \tfrac{1}{16}) \right\}, & \mathbb{E}(F_a) &= 6, \\
F_b &= \left\{ (2, \tfrac{1}{2}), (4, \tfrac{1}{2}) \right\}, & \mathbb{E}(F_b) &= 3, \\
F_c &= \left\{ (2, \tfrac{1}{2}), (4, \tfrac{1}{4}), (8, \tfrac{1}{4}) \right\}, & \mathbb{E}(F_c) &= 4, \\
F_d &= \left\{ (2, \tfrac{1}{2}), (4, \tfrac{1}{4}), (8, \tfrac{1}{8}), (16, \tfrac{1}{8}) \right\}, & \mathbb{E}(F_d) &= 5.
\end{aligned}$$

The twelve scenarios are grouped as follows:

$$\begin{aligned}
\text{MPTS-Better: } & (F_a, F_a), (F_b, F_a), (F_c, F_a), (F_d, F_a), \\
\text{M-Better: } & (F_a, F_b), (F_b, F_b), (F_c, F_b), (F_d, F_b), \\
\text{Tie: } & (F_a, F_c), (F_b, F_c), (F_c, F_c), (F_d, F_c).
\end{aligned}$$

This construction allows us to test whether sellers respond to scenario-specific revenue incentives rather than mechanically favoring one mechanism. Two Tie scenarios are used as practice rounds. The remaining ten scenarios are used as paid experimental rounds. Among the eight non-tie scenarios, MPTS-Better and M-Better scenarios are balanced across early and later rounds, allowing us to study learning over time while controlling for order effects.

3.4. *Experimental Procedure*

The experiment was programmed in oTree (Chen et al., 2016) and conducted at George Mason University in October and November 2022. Participants were recruited through the university’s experimental recruiting system. All participants were at least 18 years old and received a fixed show-up payment plus additional earnings based on their decisions.

A total of 256 participants took part in the experiment, with 128 participants in each treatment. Within each treatment, 64 participants were assigned the role of seller and 64 were assigned the role of buyer.

After reading the instructions, participants completed a comprehension quiz. They then completed two practice rounds followed by ten paid experimental rounds. After the trading task, participants completed a risk-preference elicitation task (Holt and Laury, 2002), an ambiguity-preference elicitation task, and a demographic questionnaire. Participants were paid privately in cash at the end of the session.

To facilitate comprehension, the experimental interface used participant-friendly terminology. The entry fee s_2 was described as an “entry fee,” and reserve prices were described as “secret prices.” Bids were restricted to non-negative integers no greater than twice the buyer’s realized value, and seller prices were bounded by the maximum possible value in the corresponding period. These restrictions were imposed to reduce extreme choices and improve task comprehension.

4. **Hypotheses**

We organize the hypotheses around three questions: (i) mechanism choice, (ii) implementation of the chosen mechanism, and (iii) realized revenue accounting for buyer behavior.

4.1. *I. Mechanism Choice*

The first set of hypotheses concerns whether sellers learn to choose the theoretically preferred mechanism and whether implementation complexity affects their choices. Because the revenue ranking between M and MPTS varies across demand scenarios, sellers may initially explore both mechanisms. With experience, however, sellers should become more

responsive to the scenario-specific theoretical ranking. In particular, if sellers learn the mapping between demand environments and mechanism performance, they should choose MPTS more often precisely in the scenarios where MPTS is theoretically preferred.

Hypothesis 1 (Scenario-Specific Learning). *Sellers choose MPTS more frequently in MPTS-Better scenarios than in M-Better scenarios.*

The second hypothesis concerns whether implementation complexity affects mechanism adoption. MPTS is more complex than M because it requires additional prices and creates a participation decision for buyers. In the high-complexity treatment (Set 4), sellers choosing MPTS must manually set four prices: two Myerson reserve prices, the entry fee, and the posted-price reserve. In the low-complexity treatment (Set 2), sellers set only the two Myerson reserve prices, while the remaining MPTS-specific prices are generated by the computer. If cognitive burden discourages the use of complex mechanisms (Sweller, 1988), then simplifying MPTS implementation should increase MPTS adoption.

Hypothesis 2 (Implementation Complexity). *Sellers choose MPTS more frequently in Set 2 than in Set 4.*

4.2. II. Implementation of Mechanisms

The second set of hypotheses concerns how sellers implement the mechanism after choosing it.⁴ Even when sellers choose the theoretically preferred mechanism, realized performance may depend on how they set the associated prices. Prior experimental work shows that human sellers and bidders often deviate from theoretical prescriptions in auction environments, especially when mechanisms are complex or require nontrivial pricing decisions (Davis et al., 2011; Kagel and Levin, 2009; Chen and Takeuchi, 2010; Davis et al., 2014). Evidence on reserve-price setting also suggests that deviations need not be one-sided: sellers may set reserves below or above theoretical benchmarks depending on the environment (Davis et al., 2011).

⁴This implementation hypothesis was not pre-registered. We treat it as an exploratory test motivated by prior evidence that auction and pricing rules can be difficult for human subjects to implement.

We focus on the prices that are unique to MPTS: the entry fee and the associated posted-price reserve. These prices are the source of the mechanism’s intertemporal revenue channel, but they also create an implementation burden. In Set 4, sellers manually set these MPTS-specific prices. Although suggested values are provided as reference points, prior work shows that advice can influence decisions without being followed mechanically (Cooper and Kagel, 2016). Sellers may therefore deviate from the suggested or theoretical benchmarks. These deviations could go in either direction: sellers may price more aggressively if they focus on extracting revenue from buyers who enter, or more conservatively if they are concerned about discouraging participation.

Hypothesis 3 (MPTS-Specific Pricing). *When sellers choose MPTS in Set 4, they set the entry fee and posted-price reserve differently from the suggested benchmarks.*

Because Myerson reserves appear in both M and MPTS, we also examine them as a complementary implementation measure. This analysis allows us to distinguish MPTS-specific implementation frictions from more general reserve-setting behavior common to both mechanisms. Since several Myerson reserve values can generate the same theoretical revenue in our design, we do not formulate a directional hypothesis for Myerson reserves. Instead, we use reserves above the expected buyer value as a descriptive measure of aggressive reserve setting.

4.3. III. Realized Revenue Accounting for Buyer Behavior

The final set of hypotheses concerns realized revenue accounting for buyer behavior. MPTS differs from M not only in its pricing rule, but also in its participation structure. Under MPTS, buyers must decide whether to pay an entry fee before Period 2 trade can occur. This creates an additional extensive margin: even if MPTS generates high revenue from buyers who enter, realized revenue may depend on whether buyers are willing to accept the entry fee in the first place.

We first consider buyer participation under MPTS. The source of the entry fee differs across treatments. In Set 2, the entry fee is generated by the computer according to the theoretical benchmark. In Set 4, the entry fee is set manually by the seller. Prior evidence

suggests that subjects may respond differently to outcomes generated by humans versus computers; in particular, unfair offers are more likely to be accepted when they are attributed to a computer rather than to a human proposer (Blount, 1995). Extending this logic to our setting, buyers may be more willing to pay an entry fee when it is generated by the computer than when it is chosen by another participant.

Hypothesis 4 (Buyer Participation). *Under MPTS, buyers are more likely to pay the entry fee in Set 2 than in Set 4.*

Finally, we consider realized revenue. The theoretical comparison between M and MPTS varies across demand environments. In some scenarios, M generates higher theoretical revenue; in others, MPTS generates higher theoretical revenue. If sellers choose and implement the mechanisms effectively and buyers respond as predicted, the theoretical revenue ranking should translate into realized revenue.

Hypothesis 5 (Realized Revenue). *The theoretically preferred mechanism generates higher realized revenue: M generates higher realized revenue when M is theoretically preferred, and MPTS generates higher realized revenue when MPTS is theoretically preferred.*

5. Results

We present the results following the three-part structure established in the hypotheses: (I) mechanism choice, (II) implementation of mechanisms, and (III) realized revenue, accounting for buyer behavior. We focus on the eight non-tie paid rounds, where either M or MPTS is theoretically preferred. Tie-scenario results are reported in Appendix A.5. We use Mann–Whitney rank-sum tests for between-treatment comparisons and Wilcoxon signed-rank tests for within-subject comparisons and comparisons with fixed benchmarks. All reported p -values are two-sided.

5.1. I. Mechanism Choice

We first examine whether sellers choose the theoretically preferred mechanism and whether implementation complexity affects this choice. Since sellers choose between only two mechanisms, M and MPTS, we summarize mechanism choice using the fraction of seller-round decisions in which MPTS is chosen; the fraction choosing M is one minus this value.

Figure 1 reports MPTS choice rates by scenario type, treatment, and stage. In the early stage, MPTS choice rates range from 43.75% to 46.88%, with little variation across scenario types or treatments. We do not find significant scenario differences in either Set 2 ($p = 0.78$) or Set 4 ($p = 0.90$), nor do we find significant treatment differences in either M-Better scenarios ($p = 0.68$) or MPTS-Better scenarios ($p = 0.98$). These early-stage choices are also statistically indistinguishable from the 50% random-choice benchmark,⁵ suggesting initial exploration rather than systematic scenario-specific mechanism choice.

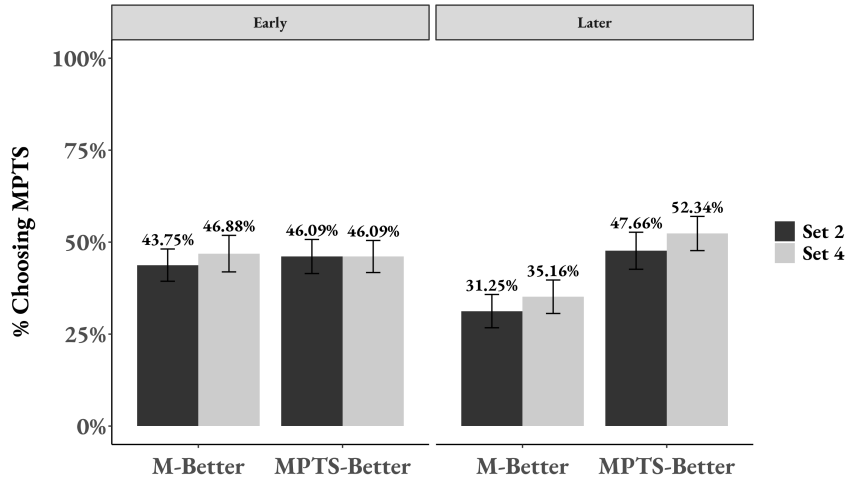


Figure 1: Mechanism Choice by Scenario Type, Treatment, and Stage

Notes. The figure reports the fraction of seller-round decisions in which MPTS is chosen. Since the choice set consists only of M and MPTS, the fraction choosing M equals one minus the plotted value.

MPTS-Better scenarios are scenarios in which MPTS generates higher theoretical revenue than M; M-Better scenarios are scenarios in which M generates higher theoretical revenue than MPTS. Each stage contains four rounds per seller. Error bars indicate standard errors.

In the later stage, choices become more scenario-sensitive. In M-Better scenarios, where M is theoretically preferred, MPTS choice falls to 31.25% in Set 2 and 35.16% in Set 4. In

⁵Correct mechanism choice is not significantly different from 50% in any early-stage comparison: Set 2 M-Better ($p = 0.16$), Set 2 MPTS-Better ($p = 0.40$), Set 4 M-Better ($p = 0.53$), and Set 4 MPTS-Better ($p = 0.37$).

MPTS-Better scenarios, where MPTS is theoretically preferred, MPTS choice rises to 47.66% in Set 2 and 52.34% in Set 4. The within-seller difference between MPTS-Better and M-Better scenarios is statistically significant in both Set 2 ($p = 0.02$) and Set 4 ($p < 0.01$). Thus, later-stage choices move in the theoretically predicted direction: sellers choose MPTS less often when M generates higher theoretical revenue and more often when MPTS generates higher theoretical revenue.

We next test whether implementation complexity affects MPTS adoption. If the setup burden of MPTS discourages sellers from choosing it, then MPTS choice should be higher in Set 2, where some MPTS prices are generated by the computer, than in Set 4, where sellers manually set all MPTS prices. For each scenario type and stage, we compare seller-level MPTS choice rates between Set 2 and Set 4. The treatment difference is not statistically significant in any comparison: M-Better Early ($p = 0.68$), M-Better Later ($p = 0.51$), MPTS-Better Early ($p = 0.98$), and MPTS-Better Later ($p = 0.49$). Sellers are therefore not more likely to choose MPTS when some MPTS prices are generated by the computer.

Result 1 (Mechanism Choice). *Hypothesis 1 is supported: in later rounds, sellers choose MPTS significantly more often in MPTS-Better scenarios than in M-Better scenarios. Hypothesis 2 is not supported: reducing the setup burden of MPTS in Set 2 does not significantly increase MPTS adoption relative to Set 4.*

5.2. II. Implementation of Mechanisms

We next examine how sellers implement the chosen mechanism. The mechanism-choice results show that sellers learn to choose mechanisms in the theoretically predicted direction. However, choosing the theoretically preferred mechanism does not guarantee that it is implemented according to the relevant price benchmarks. We therefore examine how sellers set prices after choosing a mechanism.

We focus on the prices that are specific to MPTS: the entry fee and the associated posted-price reserve. This is the direct test of Hypothesis 3, because these prices are generated by the computer in Set 2 but manually chosen by sellers in Set 4. We then examine Myerson reserves as a complementary implementation measure. Myerson reserves appear in both M

and MPTS, so this analysis allows us to distinguish MPTS-specific implementation frictions from more general reserve-setting behavior common to both mechanisms.

In MPTS, the entry fee and the posted-price reserve are central because they determine whether the mechanism can convert intertemporal surplus into realized revenue. They also provide the cleanest measures of implementation quality. In Set 2, both prices are generated by the computer according to the theoretical benchmark. In Set 4, sellers manually set both prices. Sellers in Set 4 are shown the theoretically suggested entry fee, and we compute the theoretical benchmark for the posted-price reserve using the same rule that generates the computer-set price in Set 2.

Figure 2 reports entry-fee implementation in Set 4. Panel (a) shows the share of MPTS choices in which the entry fee exceeds the suggested level. In M-Better scenarios, sellers set entry fees above the suggestion in 21.43% of MPTS choices in the early stage and 22.86% in the later stage; both shares are significantly greater than zero ($p < 0.01$ and $p < 0.01$, respectively). In MPTS-Better scenarios, the corresponding shares are 27.17% in the early stage and 41.67% in the later stage; both are also significant ($p < 0.01$ and $p < 0.01$, respectively). Thus, sellers frequently set entry fees above the suggested level, especially in MPTS-Better scenarios in the later stage.

Panel (b) reports the average entry-fee deviation from the suggested level. In M-Better scenarios, the average deviation is small and statistically insignificant: 0.17 points in the early stage ($p = 0.16$) and -0.16 points in the later stage ($p = 0.42$). In MPTS-Better scenarios, the average deviation is 0.45 points in the early stage and is not statistically significant ($p = 0.80$), but increases to 1.04 points in the later stage and becomes statistically significant ($p = 0.01$). Hence, entry-fee overpricing is most pronounced when MPTS is theoretically better and sellers have gained experience with the environment.

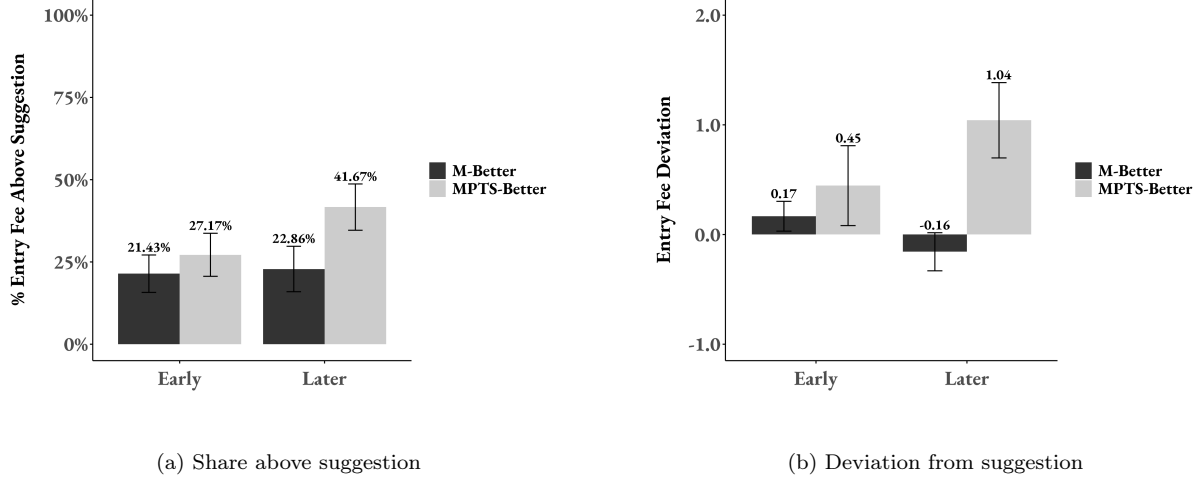


Figure 2: Entry-Fee Implementation under MPTS in Set 4

Notes. Panel (a) reports the share of MPTS choices in which the seller sets the entry fee above the suggested theoretical level. Panel (b) reports the average difference between the seller's chosen entry fee and the suggested entry fee. The sample is restricted to Set 4 MPTS choices. Error bars indicate standard errors. Reported tests use seller-level Wilcoxon signed-rank tests against the relevant benchmark. All reported p -values are two-sided.

We next examine the posted-price reserve used in the MPTS continuation component. Unlike the entry fee, sellers in Set 4 were not directly shown a suggested posted-price reserve. We therefore compute the theoretical benchmark using the same rule that generates the computer-set posted-price reserve in Set 2. We interpret deviations from this benchmark as aggressive continuation pricing.

Figure 3 reports posted-price reserve implementation. Panel (a) shows the share of MPTS choices in which the posted-price reserve exceeds the theoretical benchmark. In M-Better scenarios, sellers set posted-price reserves above the benchmark in 92.86% of MPTS choices in the early stage and 90.00% in the later stage; both shares are significant ($p < 0.01$ and $p < 0.01$, respectively). In MPTS-Better scenarios, the corresponding shares are 73.91% in the early stage and 60.42% in the later stage; both are also significant ($p < 0.01$ and $p < 0.01$, respectively). The share above benchmark is significantly different between MPTS-Better

and M-Better scenarios in both the early stage ($p = 0.02$) and the later stage ($p < 0.01$), with above-benchmark posted-price reserves occurring more frequently in M-Better scenarios.

Panel (b) reports the average posted-price reserve deviation from the theoretical benchmark. Sellers set posted-price reserves above the benchmark in all scenario-stage cells. The average deviation is 2.48 points in M-Better early-stage choices ($p < 0.01$), 2.29 points in M-Better later-stage choices ($p < 0.01$), 6.35 points in MPTS-Better early-stage choices ($p < 0.01$), and 3.29 points in MPTS-Better later-stage choices ($p = 0.04$). Scenario-category differences in the magnitude of the deviation are not statistically significant in either the early stage ($p = 0.10$) or the later stage ($p = 0.98$). Thus, the posted-price reserve evidence points to broad aggressive continuation pricing under MPTS.

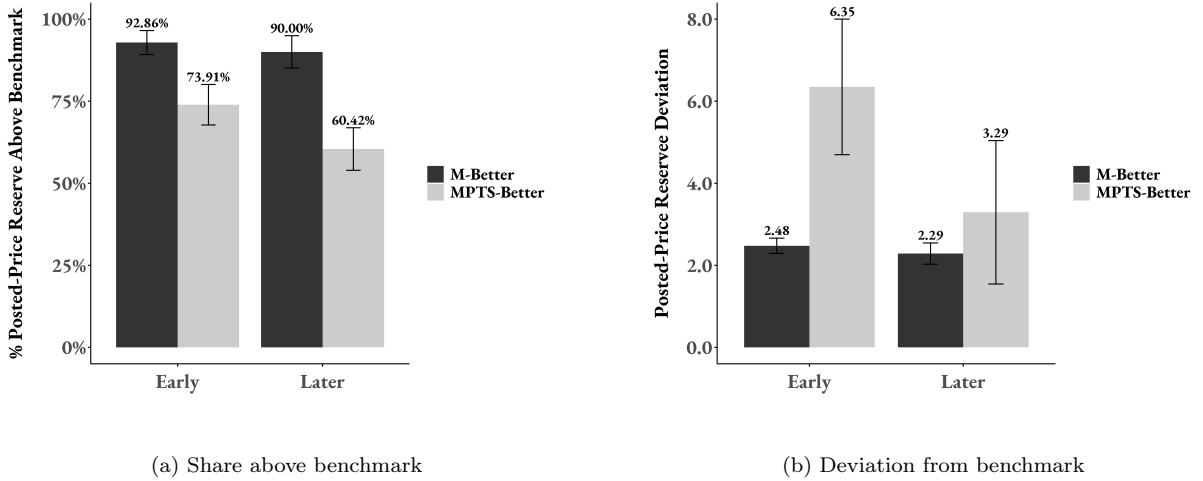


Figure 3: Posted-Price Reserve Implementation under MPTS in Set 4

Notes. Panel (a) reports the share of MPTS choices in which the seller sets the posted-price reserve above the theoretical benchmark. Panel (b) reports the average difference between the seller's posted-price reserve and the theoretical benchmark. The theoretical benchmark is computed using the same rule that generates the computer-set posted-price reserve in Set 2. The sample is restricted to Set 4 MPTS choices. Error bars indicate standard errors. Reported tests use seller-level Wilcoxon signed-rank tests. All reported p -values are two-sided.

As a complementary implementation measure, we also examine Myerson reserves, the pricing component common to both M and MPTS. Since several Myerson reserve values can

generate the same theoretical revenue in our design, we do not treat high Myerson reserves as deviations from the theoretical optimum. Instead, we use reserves above the expected buyer value as a descriptive measure of aggressive reserve setting. Sellers frequently set Myerson reserves above this benchmark: the share of reserves above the expected buyer value ranges from 31.25% to 46.88% in Period 1 and from 25.78% to 61.72% in Period 2, and the share is significantly greater than zero in every cell. The magnitude measure gives a similar conclusion: relative to the expected buyer value, Myerson reserves are on average 1.33 points higher in Period 1 and 1.56 points higher in Period 2. Regression results show no systematic treatment, period, or mechanism differences, indicating that aggressive Myerson reserve setting is common to both mechanisms rather than specific to MPTS. Detailed figures and regression results are reported in Appendix A.1.

Result 2 (Implementation of MPTS-Specific Prices). *Hypothesis 3 is supported: when sellers manually set the prices unique to MPTS, they frequently deviate from suggested or theoretical benchmarks, generally in the aggressive-pricing direction.*

5.3. III. Realized Revenue Accounting for Buyer Behavior

We now examine whether choosing and implementing a mechanism translates into higher realized revenue. Realized revenue depends not only on seller price setting, but also on buyer behavior. This is important because the implementation results show that sellers often set prices aggressively relative to the relevant benchmark. Whether such pricing reduces revenue depends on how buyers respond. If participating buyers bid aggressively, revenue conditional on participation may remain high even when seller-set prices are high. At the same time, under MPTS, high entry fees may discourage buyers from entering Period 2, reducing unconditional realized revenue. We therefore analyze realized revenue accounting for buyer behavior in two steps: first, buyer bidding and revenue conditional on participation; second, buyer participation and unconditional realized revenue.

5.3.1. Buyer Bidding and Revenue Conditional on Participation

We first examine buyer bidding conditional on participation. Bidding matters for realized revenue because aggressive seller pricing need not reduce revenue among participating buyers

if buyers also bid aggressively. Because Period 2 bids under MPTS are observed only when buyers pay the entry fee, this analysis describes bidding behavior among participating buyers rather than all buyers.

Following Gui and Houser (2026), we measure buyer bidding using the bid-value ratio, b_t/v_t . Figure 4 reports bid-value ratios across periods, scenario categories, treatments, and stages. The main pattern is persistent overbidding: participating buyers generally bid above their realized values. In Period 1, average bid-value ratios range from 1.15 to 1.25 across cells, and all cells are significantly above one according to signed-rank tests ($p < 0.01$ in all cells except later-stage Set 2 in MPTS-Better scenarios, where $p = 0.048$). In Period 2, average bid-value ratios range from 1.09 to 1.33. We do not find systematic treatment, scenario, period, or stage differences in bidding. The regression results in Appendix Table A.3 confirm this pattern, and the conclusion is robust to using an overbidding indicator, $\mathbf{1}\{b_t > v_t\}$, as an alternative measure.

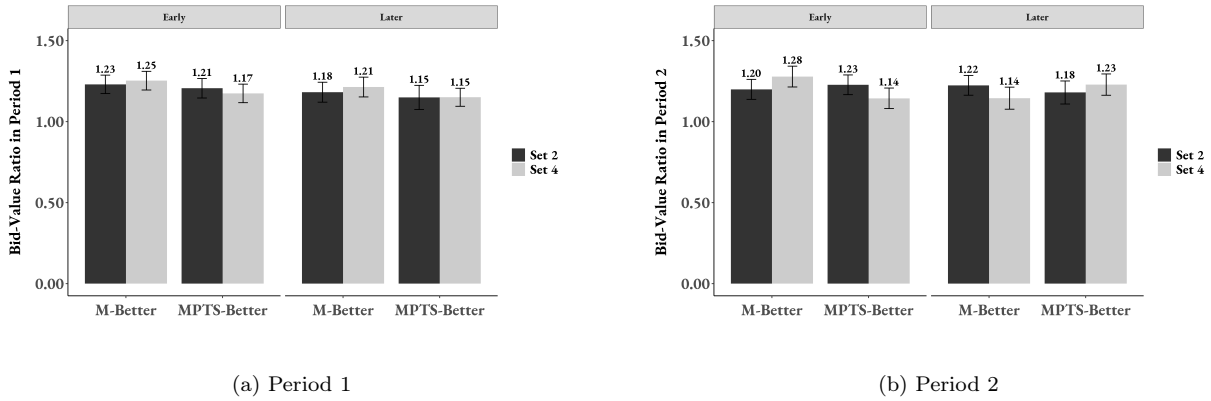


Figure 4: Bid-Value Ratio

Notes. The figure reports average bid-value ratios by treatment, scenario, and stage. A value above one indicates that buyers bid above their realized value. Period 2 bids under MPTS are observed only when buyers pay the entry fee, so the Period 2 MPTS observations are conditional on participation. Error bars indicate standard errors.

The overbidding results help interpret realized revenue conditional on participation. We define **conditional revenue** as seller realized revenue among observations in which trade

can proceed after the relevant participation decision. For M, there is no entry decision, so conditional revenue is the same as unconditional revenue. For MPTS, conditional revenue is calculated only when the buyer pays the entry fee and enters Period 2. Thus, conditional revenue captures the intensive-margin performance of MPTS among participating buyers, but excludes the participation margin.

Figure 5 reports realized revenue conditional on participation by scenario category, mechanism, treatment, and stage. The dashed horizontal markers indicate the corresponding theoretical revenue benchmarks: 4 for M, 3.5 for MPTS in M-Better scenarios, and 4.5 for MPTS in MPTS-Better scenarios.

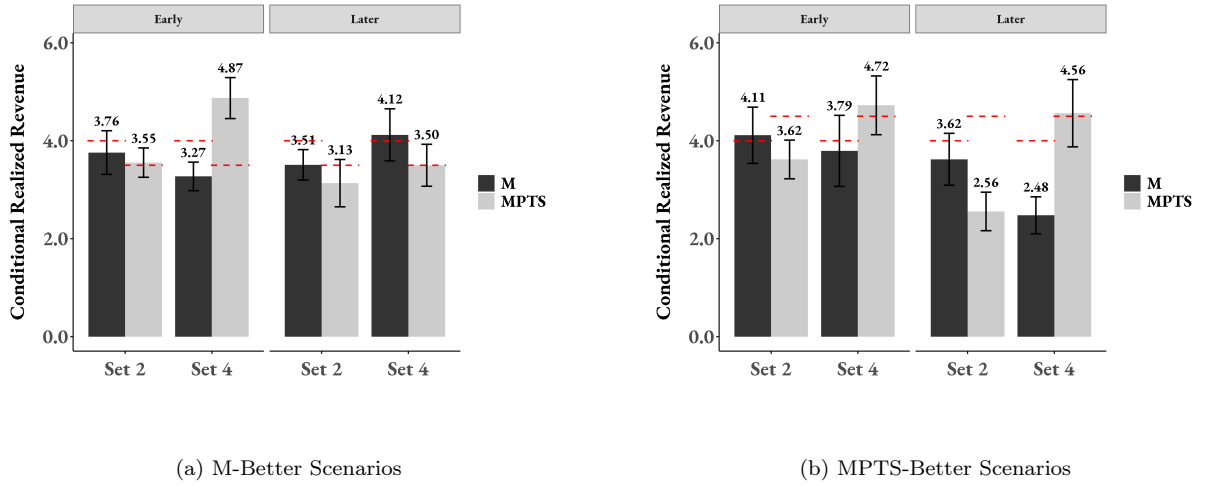


Figure 5: Realized Revenue Conditional on Participation

Notes. Bars report realized seller revenue conditional on buyer participation. The dashed horizontal markers indicate the theoretical revenue benchmarks for each mechanism and scenario category. Error bars indicate standard errors.

Across all scenario-treatment-stage cells, we find no statistically significant mechanism differences in revenue conditional on participation. Thus, among buyers who enter, MPTS does not significantly outperform M in MPTS-Better scenarios, but it also does not significantly underperform M in M-Better scenarios. Conditional revenue therefore provides little evidence that the theoretical ranking translates into realized revenue among participants.

We report the corresponding non-parametric mechanism comparisons in Table 1, together with the unconditional-revenue comparisons discussed below.

The conditional-revenue results show that MPTS can generate revenue comparable to M among buyers who enter. However, this comparison is incomplete because MPTS revenue depends on a prior participation decision. Conditional revenue excludes buyers who decline to pay the entry fee, and those observations generate zero continuation revenue. We therefore next examine buyer participation and unconditional realized revenue.

5.3.2. Buyer Participation and Unconditional Realized Revenue

We next incorporate the participation decision. This margin is particularly relevant for MPTS: before Period 2 trade can occur, buyers must decide whether to pay the entry fee. The implementation results show that sellers often set MPTS-specific prices above the theoretical or suggested benchmark, especially when they manually set these prices. Such pricing may raise revenue from buyers who enter, but it can also discourage participation. Because non-participation generates zero continuation revenue under MPTS, unconditional realized revenue is the relevant measure for evaluating realized mechanism performance.

Figure 6 reports the Period 2 participation rate under MPTS by scenario category, treatment, and stage. Participation is high but far from complete: rates range from 68.37% to 86.67%. In every cell, participation is significantly below full participation ($p < 0.01$). We do not find systematic scenario, stage, or treatment differences in participation. These results are consistent with the regressions in Appendix Table A.4.

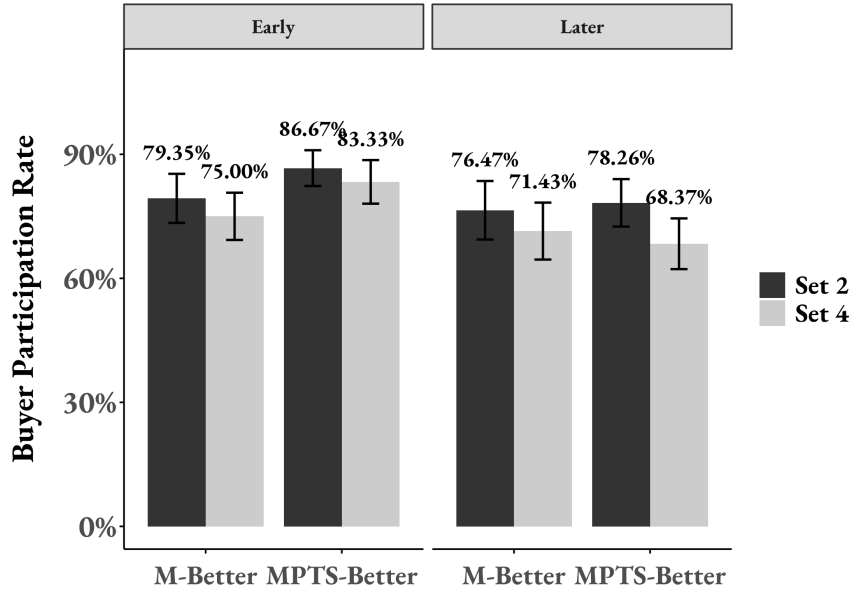


Figure 6: Buyer Participation under MPTS

Notes. The figure reports the Period 2 participation rate under MPTS by treatment, scenario category, and stage. Error bars indicate standard errors.

Although treatment differences are not statistically significant in the non-parametric comparisons, the direction is consistent across all cells: participation is lower in Set 4 than in Set 2.⁶ This directional pattern is consistent with the implementation results. In Set 4, sellers manually set the entry fee, and Section 5.2 shows that these entry fees are often above the suggested level. Since buyers observe the entry fee before deciding whether to participate, higher entry fees provide a natural channel through which implementation choices can reduce Period 2 entry. Appendix Table A.4 confirms this channel: the entry fee is negatively associated with participation, especially in the later stage. Once the realized entry fee is controlled for, the pure scenario and treatment effects are not statistically significant.

⁶The p-values for Set 4 versus Set 2 comparisons are $p = 0.304$ in early-stage M-Better scenarios, $p = 0.469$ in later-stage M-Better scenarios, $p = 0.876$ in early-stage MPTS-Better scenarios, and $p = 0.211$ in later-stage MPTS-Better scenarios.

Finally, we move from **conditional revenue** to unconditional realized revenue. Recall that for M, conditional and unconditional revenue coincide because there is no entry decision. For MPTS, unconditional revenue incorporates both revenue from participating buyers and the loss from non-participation.

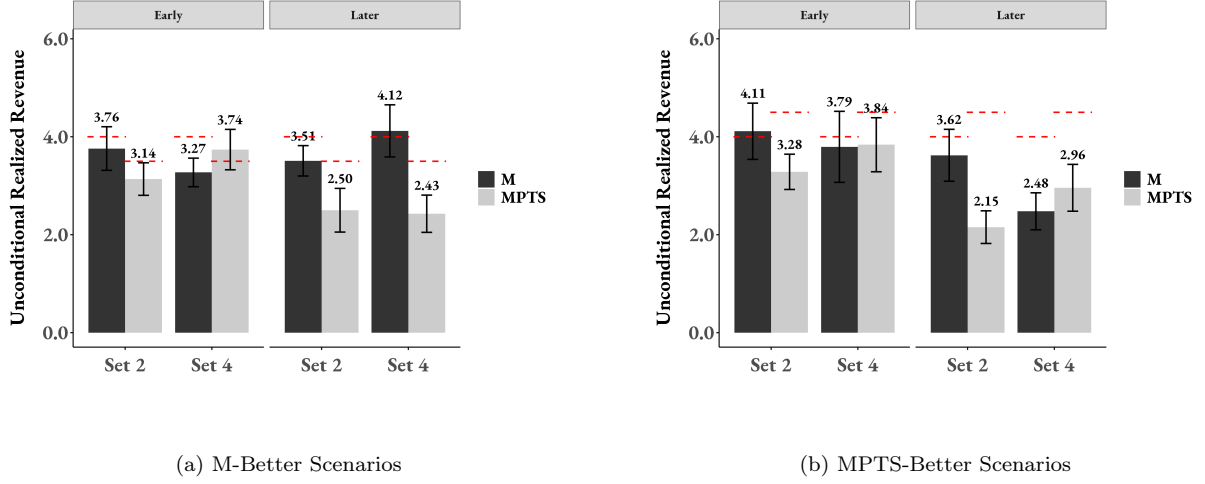


Figure 7: Unconditional Realized Revenue

Notes. Bars report unconditional realized seller revenue by mechanism, treatment, scenario category, and stage. Error bars indicate standard errors.

Figure 7 shows that incorporating participation weakens the realized performance of MPTS. Table 1 reports the corresponding non-parametric tests. In M-Better scenarios, where M is theoretically preferred, unconditional revenue favors M in the later stage. The difference is statistically significant in Set 4 ($p = 0.03$) and directionally positive in Set 2 ($p = 0.20$). In MPTS-Better scenarios, where MPTS is theoretically preferred, MPTS does not generate a reliable unconditional revenue advantage. In later-stage Set 4, the difference is in the predicted direction, favoring MPTS, but is not statistically significant ($p = 0.50$). In later-stage Set 2, the difference instead favors M and is weakly significant ($p = 0.08$), reversing the theoretical ranking. The regression results in Appendix Table A.5 and the corresponding linear tests in Appendix Table A.6 provide consistent evidence.

Table 1: Non-parametric Tests of Mechanism Differences in Realized Revenue

M – MPTS	Conditional Revenue		Unconditional Revenue	
	Early	Later	Early	Later
M-Better, Set 2	0.31 ($p = 0.24$)	0.17 ($p = 0.36$)	0.64 ($p = 0.71$)	0.94 ($p = 0.20$)
M-Better, Set 4	−1.88 ($p = 0.50$)	0.32 ($p = 0.36$)	−0.68 ($p = 0.91$)	1.36 ($p = 0.03$)**
MPTS-Better, Set 2	0.37 ($p = 0.90$)	1.07 ($p = 0.43$)	0.69 ($p = 0.61$)	1.42 ($p = 0.08$)*
MPTS-Better, Set 4	−1.19 ($p = 0.63$)	−2.35 ($p = 0.63$)	−0.38 ($p = 0.50$)	−0.80 ($p = 0.50$)

Notes. Each entry reports the difference in mean realized revenue between M and MPTS within the corresponding scenario-treatment-stage cell, followed by the p-value from the Wilcoxon signed-rank test. Positive values favor M; negative values favor MPTS. In M-Better scenarios, theory predicts $M - MPTS > 0$. In MPTS-Better scenarios, theory predicts $M - MPTS < 0$. Significance levels:

*** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Result 3 (Buyer Participation and Realized Revenue). *Hypothesis 4 is supported: buyer participation under MPTS is directionally lower in Set 4 than in Set 2. Hypothesis 5 is partially supported: when M is theoretically preferred, unconditional realized revenue favors M, significantly so in later-stage Set 4. When MPTS is theoretically preferred, however, MPTS does not generate a reliable unconditional revenue advantage once non-participation is included.*

Overall, the results show that sellers learn which mechanism is theoretically favored, but realized revenue depends on implementation and participation margins. The complex mechanism MPTS can perform well conditional on buyer entry, but its unconditional performance is weakened by incomplete participation. This is the main sense in which simpler pricing can win: M is not theoretically superior in every environment, but it is more robust to participation frictions.

Result 4 (Buyer Participation and Realized Revenue). *Hypothesis 4 is not supported: buyer participation under MPTS is not significantly different between Set 2 and Set 4. Hypothesis 5 is partially supported: when M is theoretically preferred, unconditional realized revenue favors M; when MPTS is theoretically preferred, MPTS does not generate a reliable unconditional revenue advantage.*

6. Discussion and Related Literature

This paper contributes to three strands of literature: dynamic mechanism design and dynamic pricing, experimental and behavioral market design, and learning and complexity in economic decision-making. We discuss each connection in light of the main findings.

6.0.1. Dynamic Mechanism Design and Dynamic Pricing

The first related literature studies dynamic mechanism design and dynamic pricing. Since the seminal work of Baron and Besanko (1984), theorists have characterized how sellers should design allocation and pricing rules when agents receive information over time. Dynamic mechanism design extends the static auction logic of Myerson (1981) by allowing current allocations and payments to depend on past reports, future information, and intertemporal incentive constraints. Bergemann and Välimäki (2019) provides a recent survey of this literature.

A key insight from this literature is that optimal dynamic mechanisms are often environment-specific. The seller’s optimal rule may depend on the structure of future information, demand uncertainty, and intertemporal incentive constraints. For example, Courty and Li (2000) studies ticket pricing when consumers face asymmetric uncertainty, Eső and Szentes (2007) studies a setting in which buyers acquire private value information from the seller, and Board (2007) extends related questions to an infinite-horizon environment. More generally, optimal dynamic mechanisms may require substantial information about future demand and may lack a stable general form (Jackson and Sonnenschein, 2007; Pavan et al., 2014; Balseiro et al., 2018).

These challenges motivate the study of simpler and more robust dynamic mechanisms. Mirrokni et al. (2020) introduce non-clairvoyant dynamic mechanisms, which restrict the seller from using future distributional information when designing current-period rules and therefore produce more general implementable forms. Related theoretical work studies the limits of dynamic mechanism performance when mechanisms must be robust across environments (Papadimitriou et al., 2022). Our paper builds on this literature by comparing the simple mechanism M , a repeated static benchmark, with the complex mechanism MPTS adapted from Mirrokni et al. (2020). Rather than focusing only on theoretical revenue comparisons, we ask whether human sellers can choose the theoretically preferred mechanism, implement its prices, and obtain higher realized revenue after buyer responses. Our results show that sellers learn to choose mechanisms in the theoretically predicted direction, but theoretical superiority does not automatically translate into higher realized revenue: MPTS

can perform well conditional on buyer participation, yet lose its practical advantage once non-participation is included.

6.0.2. Experimental Evidence on Dynamic Mechanisms

The second related literature uses laboratory experiments to evaluate market mechanisms. Laboratory methods are useful in this setting because they allow tight control over information, incentives, and feedback, which are difficult to observe in field data. However, relatively few experiments study seller behavior in dynamic mechanism design environments, partly because fully optimal dynamic mechanisms are often complex and difficult to implement transparently in the lab.

Our previous study, Gui and Houser (2026), provides experimental evidence on buyer behavior under M and MPTS when mechanisms are imposed exogenously. That paper shows that realized revenue broadly follows the theoretical comparison between the two mechanisms when seller-side prices are implemented by design. The present paper differs by endogenizing the seller’s problem: sellers choose the mechanism, configure prices, and learn from repeated feedback. This allows us to study mechanism adoption, implementation quality, buyer responses, and realized revenue jointly.

Our results also connect to experimental work showing that participation costs can affect realized revenue and overturn theoretical revenue comparisons. For example, Davis et al. (2014) compare auction and sequential selling mechanisms in the laboratory and show that entry costs can weaken the revenue performance of theoretically attractive mechanisms. Our paper shares the broader insight that mechanisms should be evaluated after accounting for participation behavior. The distinction is that our environment is dynamic, the mechanisms are linked across periods, and sellers choose and implement the mechanism endogenously. Thus, we study not only whether participation frictions affect revenue, but also whether sellers learn which dynamic mechanism to use and how implementation choices shape buyer participation.

6.0.3. Learning, Complexity, and Implementation

The third related literature studies learning and complexity in economic decision-making. Mechanism choice in our setting requires sellers to map demand information into a mechanism choice and then set the relevant prices. This task may be affected by cognitive burden, feedback, and experience. The cognitive load literature suggests that more complex tasks can reduce decision quality (Sweller, 1988). In our setting, MPTS is more complex than M because it requires additional prices and creates an entry decision for buyers. This motivates our treatment variation, which changes how many MPTS prices sellers must manually set.

At the same time, experimental evidence suggests that subjects can learn strategic and market institutions through experience. Harstad (2000) shows that experience in English auctions can transfer to behavior in second-price auctions. More broadly, learning has been documented in repeated public goods games (Bigoni and Suetens, 2012), dictator, ultimatum, and trust games (Matthey and Regner, 2013), and other repeated experimental environments (Benndorf et al., 2017), although the effect of learning varies by context (Pritchett and Sandefur, 2015). Our experiment contributes to this literature by studying whether sellers learn not only prices within a fixed institution, but also which dynamic mechanism to use.

The results show that sellers do learn the mechanism-selection logic: in later rounds, they choose MPTS more often in MPTS-Better scenarios than in M-Better scenarios. However, learning the correct mechanism does not eliminate implementation frictions. Sellers often set MPTS-specific prices above the suggested or theoretical benchmarks, and buyer participation is incomplete. This distinction between learning which mechanism is theoretically favored and successfully implementing it is central to our contribution.

7. Conclusion

This paper studies whether theoretically superior mechanisms generate higher realized revenue when human sellers must both choose and implement them. We compare the simple mechanism M, a repeated static Myerson mechanism, with the complex mechanism MPTS, a history-dependent dynamic mechanism, in environments where the theoretically preferred

mechanism varies across demand scenarios. The motivation is that mechanism design predictions typically assume correct selection and correct implementation, while real managers often face both problems simultaneously: they must decide which pricing rule or algorithm to use, and then set the relevant prices in practice. Our experiment allows us to separate three components of practical mechanism performance: mechanism choice, implementation, and realized revenue after buyer responses.

We find three main results. First, sellers learn to choose mechanisms in the theoretically predicted direction. In later rounds, they choose MPTS more often in MPTS-Better scenarios than in M-Better scenarios, although reducing the setup burden of MPTS does not significantly increase MPTS adoption. Second, implementation matters. For the prices unique to MPTS, sellers manually setting these prices frequently deviate from the suggested or theoretical benchmarks, and the deviations are generally in the aggressive-pricing direction. Myerson reserves, the pricing component common to both mechanisms, also show aggressive reserve setting, although this pattern is not specific to MPTS. Third, realized revenue depends critically on buyer behavior. Buyers who participate tend to overbid, and conditional on participation, MPTS does not significantly underperform M. However, MPTS also requires buyers to pay an entry fee before Period 2 trade can occur. Participation is high but incomplete, and once non-participation is included, MPTS fails to generate a reliable unconditional revenue advantage even in scenarios where it is theoretically preferred. The distinction between conditional and unconditional revenue is therefore central: a complex mechanism may appear successful among buyers who participate, but its practical performance depends on whether the mechanism sustains participation in the first place.

The main implication is that the practical value of a complex mechanism depends not only on its theoretical revenue advantage, but also on its robustness to implementation and participation frictions. A mechanism that performs well under perfect implementation may lose its advantage when sellers must set multiple prices and buyers must decide whether to participate. In this sense, simple mechanisms may be valuable not because they are theoretically optimal in every environment, but because they are easier to implement and less vulnerable to extensive-margin losses. More broadly, our results speak to platform and

marketplace design. Platforms often choose between simple, transparent pricing rules and more complex personalized or history-dependent systems. Dynamic pricing algorithms can condition on rich information, but their performance depends on how human users implement recommended prices and how buyers respond to prices, fees, and participation requirements. Our results suggest that complexity can create practical costs even when it does not prevent adoption. A complex pricing system may perform well among buyers who participate, but its practical value depends on whether it sustains participation in the first place.

Several limitations point to directions for future research. First, our experiment studies a controlled laboratory environment with a specific dynamic pricing problem. This design allows us to identify mechanism choice, implementation, and buyer participation separately, but future work could test whether the same forces arise in richer field settings or with experienced managers. Second, one might ask why we did not simply allow sellers to choose between mechanisms that are implemented perfectly, for example by automating all prices. We intentionally designed the experiment so that sellers must both choose and implement a mechanism, because this captures the realistic managerial challenge faced in practice. In real markets, even when theoretically optimal algorithms or AI recommendations exist, human managers may not follow them precisely due to limited trust, judgment, or strategic adjustment. A perfect-implementation treatment would be a valuable follow-up because it would isolate mechanism choice from implementation error. Our current design instead examines the combined effect of mechanism selection and implementation on realized revenue, which is critical for understanding practical performance. Finally, future research could study interventions that improve implementation, such as stronger defaults, clearer explanations of suggested prices, feedback about participation losses, or automation that allows managers to retain control while reducing costly deviations.

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Appendix A. Additional Analyses

Appendix A.1. Myerson Reserves

Myerson reserves appear in both mechanisms, M and MPTS, and the theoretical Myerson reserve is the same across the two mechanisms. Since several reserve values can generate the same theoretical Myerson revenue in our design, higher Myerson reserves should not be interpreted mechanically as deviations from the theoretical optimum. Instead, we use reserves above the expected buyer value as a descriptive measure of aggressive reserve setting: $\mathbf{1}\{r_t^M > \mathbb{E}[v_t]\}$.

Figure A.8 reports the fraction of Myerson reserves above the expected buyer value by period, scenario, treatment, and stage. In Period 1, between 31.25% and 46.88% of Myerson reserves exceed the expected buyer value. In Period 2, the corresponding share ranges from 25.78% to 61.72%. In every cell, the share of reserves above the expected value is significantly greater than zero according to signed-rank tests ($p < 0.01$ in all cases).

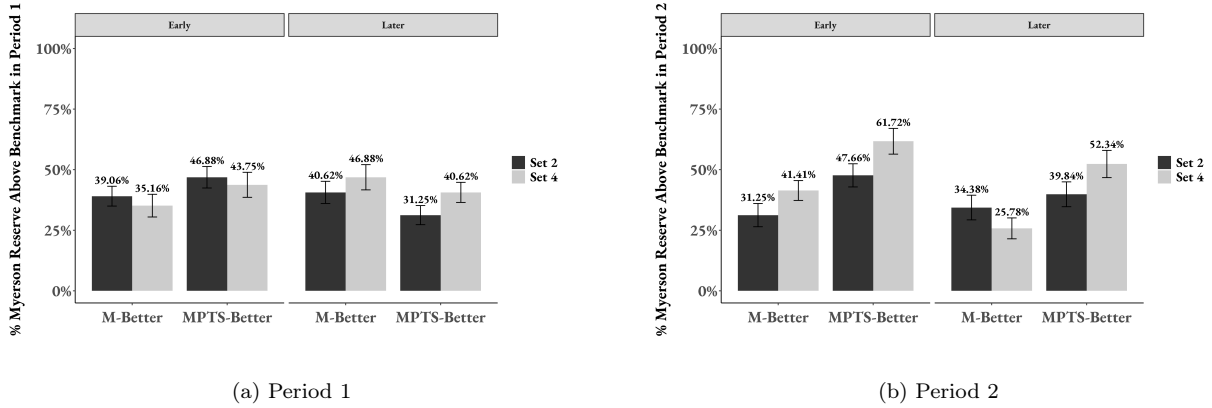


Figure A.8: Myerson Reserve Implementation: Share above Expected Buyer Value

Notes. Bars report the share of Myerson reserves above the expected buyer value, $\mathbf{1}\{r_t^M > \mathbb{E}[v_t]\}$. Error bars indicate standard errors. The sample includes seller decisions in M-Better and MPTS-Better scenarios, separately by treatment and stage.

Because Figure A.8 pools Myerson reserve choices across M and MPTS, we use the regression specification in Table A.2 to test directly whether reserve setting differs by mech-

anism. The regression evidence is consistent with the descriptive pattern: Myerson reserves are more likely to exceed the expected buyer value in MPTS-Better scenarios, but there is no systematic difference between M and MPTS.

	Above Mean		Diff. from Mean	
	Early	Later	Early	Later
Intercept	0.33*** (0.04)	0.36*** (0.04)	−0.32 (0.36)	0.39 (0.33)
MPTS-Better	0.13*** (0.03)	0.04* (0.02)	2.72*** (0.38)	0.85*** (0.28)
MPTS	−0.01 (0.03)	−0.01 (0.04)	−0.14 (0.39)	0.06 (0.39)
Set 4	0.04 (0.04)	0.05 (0.05)	0.65 (0.48)	1.03** (0.51)
Period 2	0.04 (0.03)	−0.02 (0.03)	0.69** (0.29)	−0.23 (0.24)
R ²	0.02	0.00	0.07	0.02
Adj. R ²	0.02	0.00	0.07	0.01
Num. obs.	1024	1024	1024	1024
RMSE	0.49	0.49	5.31	5.16
N Clusters	128	128	128	128

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table A.2: Myerson Reserve Aggressiveness

We obtain the same conclusion when measuring the magnitude of aggressive pricing using the difference between the Myerson reserve and the expected buyer value, $r_t^M - \mathbb{E}[v_t]$. Table A.2 reports the corresponding regression results for this deviation measure, and Figure A.9 provides the descriptive evidence. Overall, sellers frequently set Myerson reserves above the expected buyer value.

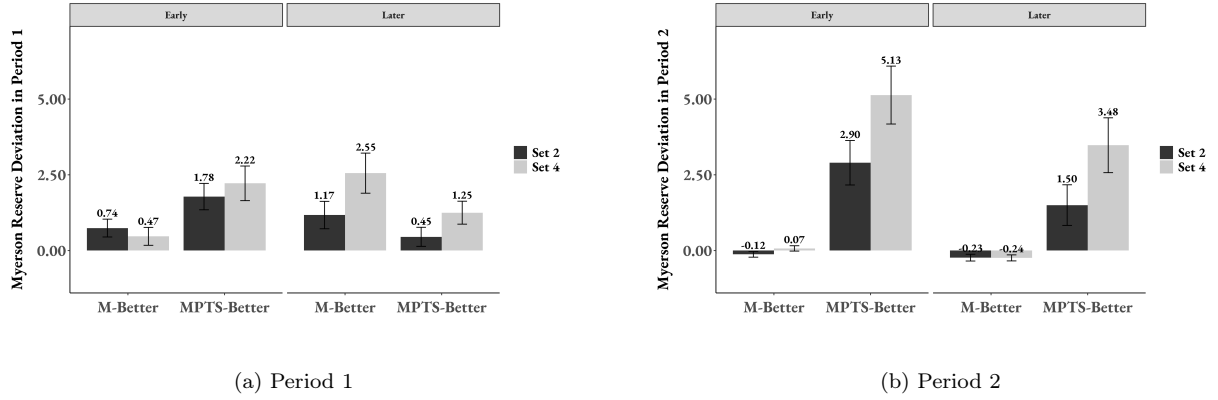


Figure A.9: Myerson Reserve Implementation: Deviation from Expected Buyer Value

Notes. Bars report the difference between the Myerson reserve and the expected buyer value, $r_t^M - \mathbb{E}[v_t]$. Error bars indicate standard errors. Positive values indicate aggressive reserve setting relative to the expected buyer value.

Appendix A.2. Buyer Overbidding

Figure A.10 reports the share of bids above realized values by period, treatment, scenario category, and stage. Consistent with the bid-value-ratio results in the main text, the overbidding indicator shows substantial overbidding among participating buyers and no systematic treatment differences.

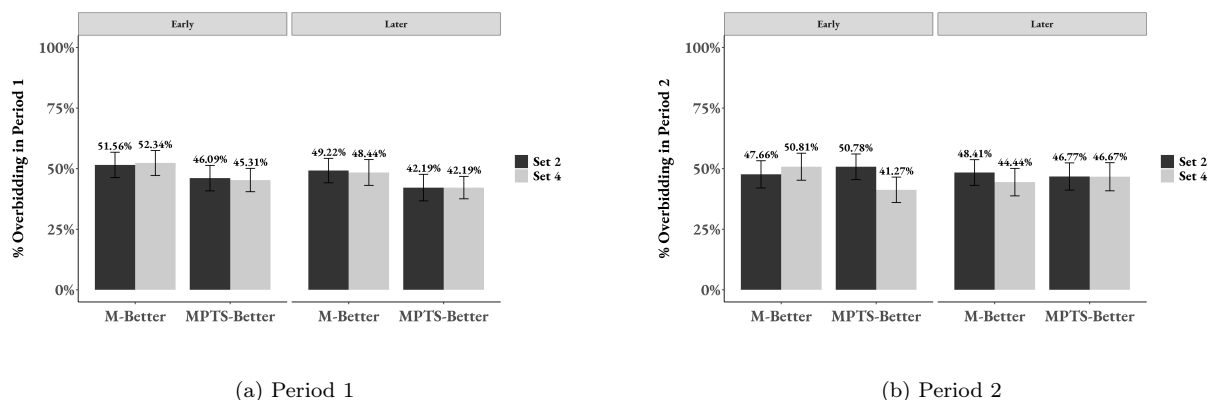


Figure A.10: Share of Overbidding

Notes. The figure reports the share of bids for which $b_t > v_t$, by treatment, scenario category, and stage. Period 2 bids under MPTS are observed only when buyers pay the entry fee, so Period 2 MPTS observations are conditional on participation. Error bars indicate standard errors.

Table A.3 reports regressions of bidding aggressiveness on scenario type, treatment, mechanism, period, and stage indicators, with standard errors clustered at the buyer level. The results show substantial overbidding conditional on participation and no systematic treatment, mechanism, period, or stage effects.

	Ratio Early	Ratio Later	Overbid Early	Overbid Later
Intercept	1.23*** (0.05)	1.21*** (0.06)	0.52*** (0.05)	0.50*** (0.05)
MPTS-Better	-0.06* (0.03)	-0.03 (0.03)	-0.05 (0.03)	-0.04 (0.03)
Set 4	0.00 (0.07)	0.00 (0.08)	-0.01 (0.06)	-0.01 (0.06)
MPTS	0.02 (0.04)	-0.04 (0.05)	-0.00 (0.03)	-0.05 (0.04)
Period 2	0.00 (0.03)	0.01 (0.03)	-0.00 (0.02)	0.00 (0.03)
R ²	0.00	0.00	0.00	0.00
Adj. R ²	-0.00	-0.00	-0.00	0.00
Num. obs.	978	963	978	963
RMSE	0.58	0.60	0.50	0.50
N Clusters	128	128	128	128

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table A.3: Buyer Bidding Conditional on Participation

Appendix A.3. Buyer Participation

Table A.4 reports regressions of buyer participation under MPTS. The entry fee is negatively associated with participation, especially in the later stage. Once the realized entry fee is controlled for, pure scenario and treatment effects are not statistically significant.

	Early	Later
Intercept	0.79*** (0.06)	0.66*** (0.08)
MPTS-Better	0.07 (0.07)	0.10 (0.09)
Set 4	-0.10 (0.08)	-0.06 (0.10)
MPTS-Better $\times$ Set 4	0.11 (0.10)	0.03 (0.13)
Entry Fee	-0.04 (0.03)	-0.09*** (0.02)
Entry Fee $\times$ Set 4	0.01 (0.03)	-0.00 (0.03)
R ²	0.04	0.16
Adj. R ²	0.02	0.14
Num. obs.	234	213
RMSE	0.39	0.42
N Clusters	115	111

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table A.4: Buyer Participation under MPTS

Appendix A.4. Realized-Revenue Regressions

Table A.5: Realized Revenue

	Conditional Revenue		Unconditional Revenue	
	Early	Later	Early	Later
β_0 : Intercept	3.83*** (0.39)	3.57*** (0.30)	3.83*** (0.39)	3.57*** (0.30)
β_1 : MPTS-Better	0.09 (0.65)	0.16 (0.66)	0.09 (0.65)	0.16 (0.66)
β_2 : Set 4	-0.72 (0.47)	0.53 (0.59)	-0.72 (0.47)	0.53 (0.59)
β_3 : MPTS-Better $\times$ Set 4	0.64 (1.06)	-1.65* (0.96)	0.64 (1.06)	-1.65* (0.96)
β_4 : MPTS	-0.31 (0.45)	-0.17 (0.70)	-0.64 (0.48)	-0.94 (0.62)
β_5 : MPTS $\times$ MPTS-Better	-0.06 (0.88)	-0.90 (1.03)	-0.05 (0.86)	-0.48 (0.97)
β_6 : MPTS $\times$ Set 4	2.19*** (0.66)	-0.15 (0.99)	1.32* (0.68)	-0.42 (0.90)
β_7 : MPTS $\times$ MPTS-Better $\times$ Set 4	-0.64 (1.52)	3.57** (1.47)	-0.25 (1.50)	2.64** (1.30)
R^2	0.02	0.03	0.01	0.03
Adj. R^2	0.01	0.02	-0.00	0.02
Num. obs.	466	451	512	512
RMSE	3.99	3.58	3.98	3.54
N Clusters	128	128	128	128

Notes. The dependent variable is realized seller revenue. Standard errors, clustered at the participant level, are in parentheses. The omitted category is M-Better scenarios, Set 2, and M. Because the specification includes three-way interactions, individual interaction coefficients do not directly represent the mechanism comparison within a scenario-treatment-stage cell. Let S denote MPTS-Better scenarios, T denote Set 4, and D denote choosing MPTS. The relevant MPTS effect is β_4 in M-Better Set 2, $\beta_4 + \beta_5$ in MPTS-Better Set 2, $\beta_4 + \beta_6$ in M-Better Set 4, and $\beta_4 + \beta_5 + \beta_6 + \beta_7$ in MPTS-Better Set 4. Significance levels: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Table A.6: Linear Tests of Mechanism Differences in Realized Revenue

M – MPTS	Conditional Revenue		Unconditional Revenue	
	Early	Later	Early	Later
M-Better, Set 2	0.31 ($p = 0.49$)	0.17 ($p = 0.81$)	0.64 ($p = 0.19$)	0.94 ($p = 0.13$)
M-Better, Set 4	-1.88 ($p < 0.01$)***	0.32 ($p = 0.65$)	-0.68 ($p = 0.15$)	1.36 ($p = 0.04$)**
MPTS-Better, Set 2	0.37 ($p = 0.55$)	1.07 ($p = 0.09$)*	0.69 ($p = 0.24$)	1.42 ($p = 0.02$)**
MPTS-Better, Set 4	-1.19 ($p = 0.26$)	-2.35 ($p < 0.01$)***	-0.38 ($p = 0.70$)	-0.80 ($p = 0.23$)

Notes. Each entry reports the estimated revenue difference between M and MPTS within the corresponding scenario-treatment-stage cell, followed by the p-value from the linear hypothesis test. Positive values favor M; negative values favor MPTS. In M-Better scenarios, theory predicts $M - \text{MPTS} > 0$. In MPTS-Better scenarios, theory predicts $M - \text{MPTS} < 0$. Significance levels: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Appendix A.5. Tie Scenarios

The main results focus on the eight non-tie paid rounds, where either M or MPTS is theoretically preferred. We report Tie-scenario behavior here as an additional check. In Tie scenarios, the two mechanisms generate the same theoretical revenue, so theory does not predict a strict preference for either mechanism.

In the practice Tie scenarios, there is no significant treatment difference in MPTS choice between Set 2 and Set 4 (50.00% vs. 45.31%, $p = 0.53$). MPTS choice is not significantly different from 50% in either Set 2 ($p = 1.00$) or Set 4 ($p = 0.26$). In the later Tie scenarios, MPTS choice is 42.19% in Set 2 and 39.84% in Set 4, with no significant treatment difference ($p = 0.80$). Sellers choose MPTS less than 50% in the later Tie scenarios, significantly so in Set 4 ($p = 0.02$) but not in Set 2 ($p = 0.13$).

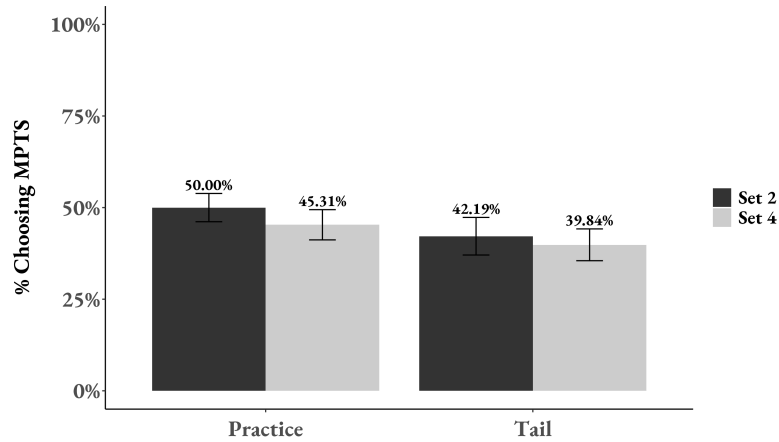


Figure A.11: MPTS Choice in Tie Scenarios

Notes. The figure reports the fraction of Tie-scenario decisions in which sellers choose MPTS. In Tie scenarios, M and MPTS generate the same theoretical revenue. The practice Tie scenarios occur before the paid rounds; the later Tie scenarios occur at the end of the paid rounds.

Appendix B. Instructions

Welcome

This is an experiment in the economics of decision making. Your earnings will depend on your decisions. If you follow the instruction carefully and make thoughtful decisions, you may earn a considerable amount of money.

Your payoff will be determined by the experimental points that you earn during the experiment. The points will be converted into dollars at the end of the experiment at the following rate:

$$10 \text{ Points} = 1 \text{ Dollar.}$$

Roles in the two-period experiment

There are two roles in this experiment, the Seller and the Buyer. Half of you will be selected at random to have the role the Seller, the other half of you will have the role of Buyer. Your role will NOT change during the whole experiment.

You will learn whether you are the Seller or the Buyer prior to making any decision.

There are 2 practice rounds and 10 experimental rounds. In each round, one Buyer and one Seller will be randomly paired. The Buyer will be paired with a different Seller in different rounds. Each round has 2 periods.

Your experimental task in each round

The Buyer can buy one item in each period from the Seller by making a bid. The cost of producing the item for the Seller is zero.

The value of the item for the Buyer in each period might be different. The value of the item is **only known to the Buyer**. The Seller is not told the true value of the item but they are told what the possible values are, and how likely that value is to be selected.

You will start with **60 points** in each round.

If you are the Buyer:

You can gain points when you buy the item from the Seller. The amount of points you receive is equal to your given value of the item minus the amount you pay the Seller.

In another round you may have to pay an entry fee. If you pay this, you lose some points but have a chance to buy the item. If you don't pay, you have no chance to buy the item.

If you are the Seller:

You can gain points when you sell the item to the Buyer. The amount of points you receive is equal to the amount the Buyer pays you.

Trading Procedure

To start:

The Seller first decides on the trading structure for the two periods. The Seller will choose between structure A and structure B, which will be explained in detail on the following page.

After the structure is chosen, in each period:

The Buyer and Seller are shown the possible values of the item. The Seller chooses a secret price for the item and this price is kept hidden from the Buyer.

The Buyer is told the value of the item, and the possible values that the Seller is given. The Buyer then has the opportunity to make a bid on the item.

After the Seller has set the price and the Buyer has made a bid (if they chose to make a bid), results from this are shown and the Buyer's bid amount is revealed to the Seller. Whether the Buyer wins the item and how much they must pay is partially determined by the trading structure that the Seller chose.

The next few pages go over the two trading structures that the Seller will choose from.

Trading Structure A

In Period 1

The Buyer has a 50% chance of getting the item **for free**. If the Buyer does get the item for free, the Buyer receives the item without paying the Seller any point.

If the Buyer does not get the item for free, the Buyer can buy the item if their bid is greater or equal to the secret price set by the Seller. Even if the Buyer's bid is higher than the Seller's price, the Buyer only has to pay the Seller's price to receive the item.

In Period 2

Entry fee is required for the Buyer.

In treatment Set 2 it reads:

The Buyer must pay an entry fee to be able to bid on the item. At this point, they know the potential values of the item but not their true value.

Instead of the Seller choosing the amount of the entry fee, The Computer will set an entry fee that is beneficial to the Seller, based on the Buyer's bid in Period 1 and the possible values for the item in this period.

In treatment Set 4 it reads:

The Buyer must pay an entry fee set by the Seller to be able to bid on the item. At this point, they know the potential values of the item but not their true value.

If the Buyer doesn't pay the entry fee, the game ends.

If the Buyer pays the entry fee, the Buyer gets to learn their true value of the item for Period 2. Once they pay this fee, the Buyer has a chance to earn a refund on the entry fee, meaning they receive all the points they paid for the entry fee back.

The Buyer has a 50% chance to receive the refund on the entry fee and a 50% chance of not receiving the refund.

In treatment Set 2 it reads:

If the Buyer does not receive the refund, the secret price for the item will be chosen by the computer. Instead of the Seller choosing the price, the Computer will set a price that is optimal for the Seller.

If the Buyer does receive the refund, the secret price for the item will be chosen by the Seller.

In treatment Set 4 it reads:

The Seller might set different secret price for the two cases.

The same rules for the Buyer receiving the item apply in either case, if their bid is higher than the secret price, then they receive the item and pay the Seller the secret price.

Summary of Structure A:

In Period 1, the Buyer has a 50% chance of receiving the item for free.

In Period 2, the Buyer has a 50% chance of receiving a refund on the entry fee if they choose to pay it.

Trading Structure B

In period 1

There is no opportunity for a free item.

Both the Buyer and the Seller receive the possible values for the item.

The Seller sets a secret price for the item that is hidden from the Buyer.

The Buyer receives their true value of the item and makes a bid on the item. The Buyer can buy the item if their bid is greater or equal to the secret price set by the Seller. Even if the Buyer's bid is higher than the Seller's price, the Buyer only has to pay the Seller's price to receive the item.

In Period 2

There are no entry fees required.

Repeats the process of Period 1. The Seller makes a new secret price and the Buyer receives a new value for the item and makes a bid.

Summary of Structure B:

In Period 1, there is no opportunity for a free item.

In Period 2, there is no entry fee required.